CSIS JAPAN CHAIR

Japan Daily Brief

Sunday, October 18, 2026

1,854 words · 7 min read

RE: BOJ Ueda signals rate hikes · Takaichi approval below 50% · Keen Sword 27 · DPRK AI torpedo · Yasukuni fallout

NIKKEI 225	USD/JPY	BRENT	BOJ RATE
65,324.29	157.99	$109.86	1.00%
▼ -5.37%	▼ -0.14%	▲ +3.95%	

TOP STORIES

ECONOMY-BOJ

BOJ Governor Ueda vows to keep raising rates, says further rise in underlying inflation above 2% 'unacceptable'

Kazuo Ueda told markets that financial conditions remain accommodative even as underlying CPI nears the *2% target*, and that allowing inflation to run hotter is not an option — the BOJ's clearest rate-hike commitment to date. Reuters reported the governor vowed to keep raising rates and anchor inflation around the target, with market pricing shifting toward a December hike.

BLOOMBERG

POLITICS-DIET

Takaichi cabinet support falls below 50% for first time since taking office — Kyodo poll

A Kyodo survey shows **Sanae Takaichi**'s cabinet support rate has slipped *below 50%* — its lowest point since she took office in October 2025. The decline tracks the Agriculture Minister Yana scandal and controversy over her Yasukuni shrine offering.

REUTERS

ALLIANCE

Joint Japan-U.S. military drill set to break new ground

The upcoming Keen Sword 27 US-Japan exercises will see Japan deploy longer-range missiles for the first time in the exercise and the United States send advanced weapons to Okinawa's Yonaguni Island, the closest inhabited Japanese territory to Taiwan. China's Global Times and Xinhua both published critical coverage calling the drills a provocation.

THE JAPAN TIMES

DPRK

North Korea tests AI-guided 'Zam-2.0' high-speed torpedo, confirmed via KCNA

North Korea announced via KCNA that it successfully tested a new AI-assisted precision-guided torpedo designated 'Zam-2.0,' capable of autonomous target detection and guidance, adding to a string of October

weapons tests including submarine-launched cruise missiles. The test adds an underwater AI-enabled strike dimension to North Korea's arsenal with direct implications for Japan's naval defense perimeter.

THE JAPAN TIMES

CHINA-JAPAN

China condemns Japan's 'negative moves' over Yasukuni shrine, calls offerings 'affront to historical justice'

China's Foreign Ministry and state media issued fresh condemnation of **Sanae Takaichi**'s masakaki ritual offering to Yasukuni Shrine for the autumn grand festival, with a Chinese spokesperson stating there is 'no room for consideration' for Japan to deviate from its postwar international obligations. Beijing's response mirrors its October 16 formal condemnation of Takaichi's earlier remarks leaving 'room for consideration' on Japan hosting nuclear weapons.

BLOOMBERG

TECHNOLOGY

Japan to launch world-first mission to collect samples from Martian moon

JAXA's Martian Moon eXploration spacecraft is scheduled to launch Tuesday on the world's first round-trip mission to Phobos, expected to take five years; scientists hope the samples will illuminate how the moon formed and shed light on the origins of life. The Washington Post and Guardian both covered the launch ahead of Tuesday's window.

THE GUARDIAN

STAT OF THE DAY

below 50%

Takaichi cabinet support rate — lowest since taking office

A Kyodo poll released this week shows PM Takaichi's support rate has fallen below 50% for the first time since she took office, a drop driven partly by the Agriculture Minister scandal and Yasukuni offering controversy.

Japan PM Takaichi's support rate falls below 50%, lowest since taking office, Kyodo reports — Reuters

JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · SUNDAY, OCTOBER 18, 2026

PM Watch: PM appeared today · 0 day(s) since last confirmed appearance — PM Takaichi is expected to continue Diet deliberations on the consumption tax cut bill; today's PM APPEARANCE reports confirm she sent a masakaki offering to Yasukuni Shrine on Oct 17 and her Diet schedule continues Sunday.

防衛省 · MINISTRY OF DEFENSE · *Defense Minister Shinjiro Koizumi*

Defense Minister Koizumi praises SDF personnel returning from Indonesia forest firefighting mission

Shinjiro Koizumi on Sunday welcomed back Self-Defense Forces personnel who had returned from assisting with forest fire operations in Indonesia, praising their service in an overseas humanitarian mission.

→ Mainichi ↗

官房長官 · CHIEF CABINET SECRETARY · *Chief Cabinet Secretary Minoru Kihara*

Hokkaido Shimbun denies detained reporter acted at Japanese government direction

The Hokkaido Shimbun newspaper formally denied that its reporter Yuki Imai, detained in Sakhalin by Russia on espionage allegations, was acting at the behest of the Japanese government. The Chief Cabinet Secretary's office has been fielding press inquiries on the case, with the government requesting information and consular access from Moscow.

→ straitstimes.com ↗

DIET SESSIONS / LDP

DEMOCRATIC PARTY FOR THE PEOPLE

DPP's Shinpei Ebara signals party is not categorically opposed to the consumption tax cut bill

On a Sunday political discussion program, a senior DPP figure stated the party's position is 'not one of opposition from the outset' to the government's food consumption tax cut bill, suggesting potential room for negotiation as the bill proceeds through the extraordinary Diet session.

LDP (FORMER INTERNAL AFFAIRS MINISTER)

Former minister Yoshimasa Hayashi indicates 'no wish' for portfolio in a personnel reshuffle survey

Yoshimasa Hayashi, who left the cabinet in the February 2026 reshuffle, told a TV program that he answered 'no wish' to a party survey on future personnel preferences, signaling he is not actively seeking a return to cabinet at this stage.

PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
NHK · Oct 14, 2026	**50.8%**	**32%**
JNN · Oct 4, 2026	**63%**	**33.9%**
Asahi · Sep 28, 2026	**51%**	**33%**
ANN · Sep 23, 2026 · **25d ago**	**58.3%**	**27.6%**
Kyodo · Sep 23, 2026 · **25d ago**	**53.4%**	**30.9%**
Nikkei · Sep 5, 2026 · **43d ago**	**62%**	**33%**
Yomiuri · Sep 19, 2026 · **29d ago**	**59%**	**30%**
FNN · Sep 15, 2026 · **33d ago**	**61.6%**	**32.2%**

Discourse: Takaichi's approval is now below 50% in Kyodo polling for the first time since taking office; the Jiji poll shows an even lower 42.4%, while an Asahi survey found 68% of respondents view scandal-tainted cabinet members as 'problematic.'

Poll tracker: **Observing Japan approval-rating aggregator →**

BUSINESS & ECONOMY

MACRO · NIKKEI ASIA · BANK OF JAPAN

BOJ's Ueda says inflation can't be allowed to rise further; economy on track since September meeting

BOJ Governor **Kazuo Ueda** told reporters that Japan's economy is broadly in line with the central bank's outlook since the September meeting, and that allowing underlying CPI to rise further above *2%* is unacceptable. He reaffirmed financial conditions remain accommodative, underpinning the rate-hike trajectory.

FINANCE · NIKKEI ASIA

Japan to prohibit untraced gold exports in crackdown on consumption tax evasion

Japan is moving to ban gold exports that cannot be traced through the supply chain, closing a loophole used to evade consumption tax on domestic gold transactions. The measure targets a documented abuse pattern in which traders exploit the zero-rated export regime to recover consumption tax on gold purchased domestically.

TECH · NIKKEI ASIA

Japan's power grid exposed to hackers through *100 million* home devices

Nikkei Asia reports that approximately *100 million* internet-connected home appliances in Japan — including smart meters and air conditioners — present exploitable attack surfaces that could destabilize the national power grid. The finding arrives as the government's economic security legislation expands its scope to critical infrastructure cyber-resilience.

REGIONAL PRESSURE WATCH

Normal — 31 items (BOJ: 18, DPRK: 10, Chief Cabinet Sec: 2, China MOFA: 1)

CHINA

China's Foreign Ministry issued a formal statement declaring there is 'no room for consideration' for Japan to deviate from its postwar international obligations — a direct response to Takaichi's nuclear-hosting remarks — while Beijing simultaneously condemned her Yasukuni offering as 'an affront to historical justice.' Both lines of Chinese messaging are running in parallel, compounding bilateral pressure.

NORTH KOREA

North Korea confirmed via KCNA a successful test of the 'Zam-2.0,' a new high-speed AI-assisted precision-guided torpedo with autonomous target detection and guidance capabilities, adding an underwater AI-enabled strike dimension to an October weapons-testing campaign that already includes submarine-launched cruise missiles from a 'Hunchback'-class submarine.

RUSSIA

The Hokkaido Shimbun formally denied that its reporter Yuki Imai, detained by Russia's FSB in Sakhalin on espionage allegations, was acting at the Japanese government's direction; Russia continues to deny consular access, and the case remains the most significant Russia-Japan bilateral incident in the current period.

Senkaku / ECS: No new China Coast Guard territorial-water intrusion or PLA activity near the Senkakus was reported in today's Tier 4 data; the prior tracker records CCG entry on October 10 and an ongoing Chinese carrier group western-Pacific deployment flagged October 14.

> *“No room for consideration for Japan to follow postwar int'l order, honor obligations”*
>
> Chinese Foreign Ministry Spokesperson · No room for consideration for Japan to follow postwar int'l order, honor obligations: Chinese spokesperson — Xinhua

Bottom line: The dominant adversary signal today is dual Chinese messaging — running Yasukuni condemnation and nuclear-obligations pressure simultaneously — while North Korea's AI-torpedo test adds a new underwater strike capability to watch. The Russia-Japan journalist detention case remains unresolved with consular access still denied.

U.S.-JAPAN RELATIONS

ALLIANCE · THE JAPAN TIMES

Takaichi says she will attend APEC in China 'if parliament allows' — a potential leaders' meeting with Beijing

Sanae Takaichi conditioned her attendance at the APEC summit in China on the Diet's schedule, specifically the consumption tax cut bill deliberations in the extraordinary session. The APEC sidelines have historically served as the venue for Japan-China and Japan-US leaders' pull-asides; Takaichi's attendance would also be her first visit to China as prime minister.

INDO-PACIFIC PARTNERS

SOUTHEAST ASIA · NIKKEI ASIA

Japan advances Bangladesh's first economic partnership agreement ahead of Tarique Rahman visit

Japan is set to move forward with the first bilateral economic partnership agreement with Bangladesh, timed to coincide with a diplomatic visit by Bangladeshi officials; Tokyo envisions using Bangladesh as a connectivity hub for India's northeast and the Bay of Bengal region.

SOUTHEAST ASIA · MAINICHI

Pro-relocation Okinawa Governor Koja visits Futenma base transfer site at Henoko

Okinawa Governor **Genta Koja**, who took office late last month supporting the US base relocation plan, visited the Camp Schwab construction site at Henoko on Saturday — a signal of his intent to accelerate the long-stalled transfer of MCAS Futenma.

SOCIAL STATEMENTS

CS

Chinese Foreign Ministry Spokesperson
Spokesperson, Ministry of Foreign Affairs of China · Xinhua · Oct 18, 2026

“No room for consideration for Japan to follow postwar int'l order, honor obligations”

Analyst: The statement, attributed to a Chinese Foreign Ministry spokesperson by Xinhua, responds directly to PM Takaichi's earlier remark leaving 'room for consideration' on Japan hosting nuclear weapons, and coincides with condemnation of her Yasukuni offering.

Source →

UPCOMING

Oct 18

Keen Sword 27 US-Japan joint exercises set to commence

The biennial Keen Sword exercises break new ground this iteration, with Japan deploying longer-range missiles and the US sending advanced weapons to Yonaguni Island in Okinawa. China's Global Times and Xinhua have both flagged the drills as provocative.

Oct 21

Japan space agency set to launch MMX Martian moon sample-return mission

JAXA's Martian Moon eXploration spacecraft is scheduled to launch Tuesday on a five-year round-trip mission to Phobos — the world's first mission to return samples from a Martian moon. Scientists expect results to illuminate solar system formation and the origins of life.

Nov 15

APEC summit in China — Takaichi attendance conditional on Diet schedule

Prime Minister Takaichi has indicated she would attend the APEC summit in China 'if parliament allows,' leaving open the possibility of a Japan-China leaders' meeting on the sidelines amid a bilateral deep freeze. Diet deliberations on the consumption tax cut bill are the binding constraint.

Dec 1

BOJ December monetary policy meeting — rate hike expected by markets

Market participants are concentrating expectations for the next BOJ rate increase on the December meeting, following Governor Ueda's repeated signals that underlying inflation nearing 2% is 'unacceptable' and that financial conditions remain accommodative. Date is an estimate; verify from BOJ calendar.

Mar 31

Current US-Japan Host-Nation Support Special Measures Agreement expires

The current SMA, at approximately ¥211 billion per year, runs through March 31, 2027. Renegotiation will become a live issue over the coming months against the backdrop of the Trump administration's burden-sharing demands.

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JAPAN DAILY BRIEF

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